could influence the flow of money and also regulate the exchange rate of the rupee.[8] During the war, the exchange rate weakened and reverse councils were sold to shore up the rate.

A severe decline in the import of gold (restrictions were placed on the export of gold by belligerent nations), led to a scarcity of gold coins which till then could be obtained against government notes. The government suspended the sale of gold to private parties and directed that silver coins alone would be obtained for notes. But a world-wide decline in the production of silver from 1914 and the greatly increased demand all over the world for coinage, resulted in a sharp increase in the price of silver which rose to unprecedented heights. As the Indian rupee was a silver coin, there was a phenomenal demand for the metal which shot up from 27.25d in 1915 to 43d per standard ounce by August 1917—the point at which the exchange value of the rupee at 1s 4d became equivalent to the value of silver contained in it. In 1917, it rose to 55d and by December 1919, it had reached 79d. The exchange rate had to be stepped up since the rupee undervalued at 1s 4d would have disappeared from circulation by melting. The rupee was allowed to follow silver prices and by December 1919 was 2s 4d.

In May 1919, a committee headed by Henry Babington Smith, was appointed to examine among other things the effect of the war on the Indian exchange and currency system. It recommended stabilization of the rupee at 2s gold, the view being that the high exchange rate of the war time had mitigated a rise in Indian prices and had resulted in substantial savings in ‘Home Charges’ in terms of rupees. Sir Dadiba Dalal,[9] one of the members of the committee, disagreed with the Majority Report, in particular the 2s rate. In his Minority Report he advocated a 1s 4d ratio. Whatever the wartime experience, there was very little justification for maintaining the high exchange rate which was reached after the war. The Government of India viewed the evidence of Indian expert witnesses like Manu Subedar, S.K. Bomanji, and S.K. Sharma, as ‘frankly racial’ and regarded Dalal’s Minority Report in the ‘nature of a leg-pull.’[10]

According to A.K. Bagchi, the Committee report’s main unwritten justifications were to allow British capitalists to transfer war-time profits abroad on the most favourable terms available, ease the process of transfer of Home Charges, prevent India from absorbing gold on any considerable